	2002	2003	2004	2005	2006
Operating Income	5,293	9,826	33,886	103,443	158,579
Net Income	3,029	5,930	20,387	62,775	97,949
EPS	0.04	0.07	0.22	0.65	0.99
Long-term debt	3,837	602	583	525	303
Shareholder equity	28,371	35,050	58,571	125,509	225,084
ROE	10.68%	16.92%	34.81%	50.02%	43.52%

Note: ROE is Return on Equity. Its net income divided by shareholder equity

For all the detailed financial analysis in this case study, the essence of the deal is right here in this table. You see a rapid increase in sales, rising profits and a rising ROE. (We'll get to ROE in chapter 6.) If there is a detectable formula for 100-baggerdom, this is it.

You could've bought shares in 2004, well along in the story, and still made 100 times your money. You didn't have to do all the deep financial work on display here. In fact, it probably would have helped if you didn't because a lot of smart financial people said it wouldn't work. But more on that in a bit.

"It is easy to see the business quality when studying the above table,"

Yoda writes. "So why didn't everyone get rich? Very few people followed the story early on."

	Q2'03	Q3'03	Q4'04	Q1'04	Q2'04
# of analysts of conference calls	1	1	3	4	8

And even if you knew the story, you had to hold on — even if you looked silly and even if sophisticated people told you it wouldn't work.

The Value Investors Club is a widely followed stock-research platform full of sophisticated people. And in 2005, an anonymous author posted Hansen's as a short — that is, betting against it. This poster had won the VIC competition three times — which, Yoda believes, must be "one of the best records ever."

So, he was not some unknown in damning Hansen's.

"The write-up was well received by this distinguished group of investors," Yoda writes. "One even chimed in: 'No strategic player is going to buy this company. It is a clearly overvalued, marginal player in a fad business that has a very average brand with no distribution edge.